

Pearson Edexcel

Level 3 GCE

Practice Paper (Moderate Level)

(Time: 1 hour 30 minutes)

Paper Reference: 8EB0/02 (Practice)

Economics B

Advanced Subsidiary

Paper 2: The wider economic environment

Instructions

- Use **black** ink or ball-point pen.
- **Fill in the boxes** at the top of this page with your name, centre number and candidate number.
- Answer **all** questions.
- Answer the questions in the spaces provided - *there may be more space than you need.*

Information

- The total mark for this paper is **80**.
- The marks for **each** question are shown in brackets - *use this as a guide as to how much time to spend on each question.*
- Calculators may be used.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions.

SECTION A

Read the following extracts (A and B) before answering Question 1.

Write your answers in the spaces provided.

Extract A

UK gym industry continues to expand despite cost pressures

The UK fitness industry has continued to grow over the past five years, with total gym memberships now standing at over 10.4 million people. Low-cost gym chains such as PureGym and The Gym Group have led much of this expansion, opening hundreds of new sites across UK towns and cities.

However, the industry is now facing significant cost pressures. Energy costs have risen sharply, with many gym operators reporting that utility bills have more than doubled in the last 18 months. This is partly due to higher wholesale gas prices, which has contributed to UK inflation reaching 4.6% in the year to October 2023.

Rising wage costs are also putting pressure on profit margins. The annual rate of growth in average nominal earnings was 7.2% in the year to October 2023. Combined with increases in the National Living Wage, this has made it more expensive for gym chains to retain instructors and reception staff.

Consumer spending patterns have also shifted. Real disposable incomes have been squeezed during the cost-of-living crisis, leading some consumers to cancel discretionary subscriptions, including gym memberships. Despite this, many low-cost gyms have continued to attract new members from premium operators, as customers seek cheaper alternatives.

David Hopkins, head of research at LeisureDB, said: "The fitness sector has proven remarkably resilient. However, gym operators that fail to control costs or differentiate their offering will struggle. Aggregate demand in the wider economy remains weak, and consumers are increasingly value-conscious."

(Source: adapted from industry reports, 2023)

Extract B

UK labour market statistics: October 2023

Labour force	34,140,000
Employed	32,837,000

(Source: adapted from Office for National Statistics, 2023)

1 (a) What is meant by the term 'real disposable income'? **(2)**

(b) Using Extract B, calculate, to 2 decimal places, the rate of unemployment for the UK in October 2023. **(4)**

(c) Using Extract A, calculate, to 2 decimal places, the change in real earnings for October 2023. **(4)**

(d) Discuss the possible benefits of low-cost business models for consumers. **(8)**

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(e) Assess the likely impact on UK gym chains of rising energy and wage costs. **(12)**

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(Total for Question 1 = 30 marks)

TOTAL FOR SECTION A = 30 MARKS

SECTION B

Read the following extracts (C, D and E) before answering Question 2.

Write your answers in the spaces provided.

Extract C

Innocent Drinks faces tough competition in the smoothie market

Innocent Drinks, the UK-based smoothie and juice company, has long been seen as a market leader in the healthy beverages market. Founded in 1999 by three friends from Cambridge University, Innocent now sells more than two million smoothies and juices every week across Europe.

However, the company is facing increasing competition from supermarket own-brand alternatives and new entrants offering plant-based protein drinks. Sales growth at Innocent has slowed to just 2.1% in 2023, compared with 12% growth in 2019.

Younger consumers are particularly drawn to newer brands that emphasise sustainability and functional health benefits. Many of these competitors offer products at a lower price point. A typical Innocent smoothie retails for £2.75, compared with around £1.50 for supermarket own-brand alternatives.

Innocent has responded by extending its product range into new categories, including coconut water and dairy-free milk alternatives. The company has also invested heavily in its UK manufacturing facility, known as 'The Blender', which opened in 2022 at a cost of £200 million. The site has the capacity to produce up to 400 million bottles per year.

"The smoothie market is now mature, and we recognise that the original Innocent product life cycle has reached a critical stage," said an Innocent spokesperson. "Our priority is to extend the life of our core products through innovation, while building new revenue streams in adjacent categories."

(Source: adapted from industry sources, 2023)

Extract D

Innocent capacity utilisation concerns

Innocent's new manufacturing site, The Blender, is reportedly operating at just 55% of total capacity. The site was designed to support ambitious growth targets that have not been achieved.

Industry analysts have raised concerns about whether Innocent will be able to generate sufficient sales to make full use of the new facility. Fixed costs at the site are estimated at over £30 million per year, regardless of production volumes.

"Under-utilisation of capacity on this scale is a serious challenge," said one analyst. "It means average costs per unit are significantly higher than they would be at full capacity, putting further pressure on already tight margins."

(Source: adapted from industry analysis, 2023)

Extract E

Innocent launches new range with introductory pricing

Innocent has announced the launch of a new range of plant-based protein drinks targeted at gym-goers and health-conscious consumers. The new range, called 'Innocent Plus', will initially be sold at a discounted price of £1.99 per bottle for the first three months, with prices then rising to £2.99.

The company is hoping to use this introductory pricing strategy to build market share quickly in the competitive functional drinks market. Innocent's marketing director said: "We want consumers to try the products and become loyal customers. Once they experience the quality, we believe they will continue to buy at the higher price point."

(Source: adapted from press release, 2023)

2 (a) What is meant by the term 'product life cycle'? **(2)**

Innocent has decreased the price of one of its smoothie ranges by 5%. This led to a 4% increase in sales.

(b) Calculate the price elasticity of demand (PED) for this smoothie range. You are advised to show your working. **(4)**

(c) Explain one possible benefit for Innocent of investing in its new UK manufacturing facility. **(4)**

(d) Discuss the implications of under-utilisation of capacity for Innocent. **(8)**

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(Total for Question 2 = 30 marks)

TOTAL FOR SECTION B = 30 MARKS

SECTION C

Read the following extract (F) before answering Question 3.

Write your answer in the space provided.

Extract F

UK government raises interest rates to combat persistent inflation

The Bank of England's Monetary Policy Committee has voted to raise the base interest rate to 5.25% in an attempt to bring UK inflation back to its 2% target. Inflation reached a peak of 11.1% in October 2022, the highest level seen in the UK for over 40 years.

Higher interest rates are designed to reduce aggregate demand in the economy by making borrowing more expensive and saving more attractive. Consumers with mortgages have seen their monthly repayments rise sharply, leaving them with less disposable income to spend on other goods and services.

Many UK businesses have expressed concern that higher interest rates will reduce investment and slow economic growth. The Confederation of British Industry has warned that the UK economy could fall into recession if rates remain high for an extended period. UK GDP growth is forecast to slow to just 0.2% in 2024.

However, supporters of the policy argue that high inflation is more damaging to the economy in the long run. Persistent inflation erodes real incomes, distorts price signals and reduces the international competitiveness of UK exports. Workers across the public and private sectors have demanded higher pay rises to keep up with rising prices, which risks creating a wage-price spiral.

Critics of the Bank of England argue that raising interest rates is a blunt tool that affects households unevenly. Younger homeowners and recent borrowers are hit much harder than those with savings. There is also concern that unemployment could rise sharply if firms respond to weaker demand by cutting jobs.

(Source: adapted from financial press, 2023)

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(Total for Question 3 = 20 marks)

TOTAL FOR SECTION C = 20 MARKS

TOTAL FOR PAPER = 80 MARKS